

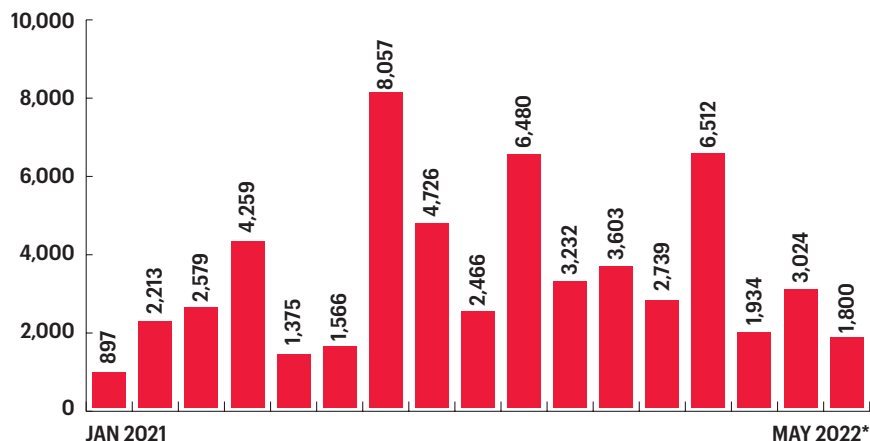
DEAL TRACKER

Venture capital deal values dropped 22 per cent in the first five months of this year compared to the preceding five-month period

DEAL VALUE (\$ MILLION)

*TILL MAY 19, 2022

SOURCE PGA LABS



“Late-stage liquidity is becoming more and more uncertain. Start-ups are uncertain if they would get the valuation they think they deserve in the next funding round. [Renegotiations] are happening. Aggressive investors are asking hard questions. They’re taking more than usual time for diligence. They’re recalibrating strategies and evaluating external factors before committing anything,” says the founder of a unicorn who wished to remain anonymous.

The founder’s comments are corroborated by Raghubir Menon, Corporate, M&A and PE Partner, Shardul Amarchand Mangaldas & Co. “I see a number of deals happening where valuation haircuts are applied. In many cases, significant reduction is seen between what the understanding was at the beginning of the discussion and what it is at the closing. Companies have started to realise that easy money is going away from the table and, therefore, they need to be a lot more robust in the way in which they operate.” At the same time, investors are also hold-

ing on to new investments because there is no clear visibility into where the bottom is for public markets, and one cannot make a fair assessment on valuations if public markets are the benchmark.

There’s another nuance. With \$18 billion pumped into late-stage firms in 2021, according to PGA Labs, many late-stage start-ups have comfortable runways today and are not attempting any new fundraising to avoid flat or down rounds. That is thinning the supply lines for VCs.

A series of financial frauds and corporate misconduct issues that rocked the start-up ecosystem in the past 18 months is adding to the stress. High-profile start-ups including fintech firm BharatPe, social commerce platform Trell and B2B fashion e-commerce firm Zilingo have come under the scanner with their respective founders battling allegations of financial irregularities and violation of corporate governance norms. Investors are taking longer-than-normal time for due diligence and are tightening the filtering parameters.



“ When access to funding is easier, a surplus of capital flows to some start-ups and there is a tendency to hire more than required. In some places, excess hiring has been done and it is getting moderated now ”

VIJAY SIVARAM CEO, QUESS IT STAFFING - RECRUITMENT & SEARCH